

With 385,000, one can buy 238 shares.

Profit made due to 5% upside movement is Rs.19,278 (238 shares X 81 points)

ROI on capital is 5%

Case-2: Futures

With 385,000, a trader can buy 1 lot (600 shares) in futures.

Profit made due to 5% upside movement is Rs. 48,600 (600 QTY X 81)

ROI on capital is 12.6%

Hence, futures provide better rewards as compared to equities. But traders should note that futures is like a double edged sword, as the loss is also on the higher side.

Who Should Trade Futures?

Taking a positional trade in futures brings more risk on the table due to the gap up/down open on any trading day, and this can ruin the money management rules.

If you are planning to take a positional bet in futures, then plan so that you don't lose more than 10% of the capital even if the stock shows a 10% gap open in the opposite direction.

We will take the same Infosys example discussed in the above section (at CMP 1615). Assume the trader decides to carry the position overnight, thinking it will go further upside.

Suppose on the next day, the price shows a 10% gap down open (from 1615), then the trader will lose Rs. 96,900 which is over 25% of his trading capital. This will be a terrible blow for him, and it is tough to recover from this point.

But if a trader has Rs. 1,000,000 as his trading capital, then a loss of Rs. 97,200 is only a 10% loss on the overall capital, and there is a probability to recover this loss. So approximately Rs. 1,000,000 (10 Lakh) capital is needed to take positional trades in futures (in Indian market conditions).